Principles for Responsible Banking (PRB)

Self Assessment

Your story matters

absa

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About Our Report

Absa Bank Kenya is a signatory to United Nations Environment Programme Financial Initiative (UNEP FI) Principles for Responsible Banking. The principles establish a global standard for responsible organizational practices, guiding banks to align with societal objectives outlined in the Paris Climate Agreement and the United Nations Sustainable Development Goals.

Our aim is to deliver a clear and well-informed overview of the Bank's strategy, governance, performance, and future prospects within our operational context, highlighting how value is generated, safeguarded, or diminished over time.

To enhance clarity and avoid redundancy, this report references other published Absa reports and should be read in conjunction with them.

Reporting Universe

Our suite of reports are as follows:

Absa Bank Kenya 2023 Sustainability Report	The report seeks to convey our influence on significant Environmental, Social, and Governance (ESG) matters, including climate change, customer welfare, governance practices, human rights, and the promotion of diversity, equity, and inclusion.	Link to the Sustainability Report
Integrated Report and Annual Financial Statement 2023	The report offers a comprehensive overview of how the Bank has generated sustainable long-term value. Additionally, it includes the Bank's complete audited financial statements.	Link to the Integrated Report

Scope

This report presents data—both financial and non-financial—pertaining to Absa Bank Kenya Limited (the Bank) as the reporting entity, encompassing all entities under our control or significant influence. It covers the period from January 1, 2023, to December 31, 2023, and also includes any significant events that occurred after this timeframe.

Our Commitment

We are dedicated to promoting sustainable finance in Africa—our homeland—driven by our mission to be a positive force in all our endeavors. In 2023, we made significant strides in our sustainability initiatives, establishing bold targets to reduce our carbon footprint in alignment with the United Nations Sustainable Development Goals (SDGs) and the Paris Agreement. Our strong governance framework, which adheres to global sustainability standards, along with our active engagement with stakeholders, highlights our commitment to responsible banking and a fair transition to a low-carbon economy. As we move forward, we remain focused on fostering meaningful environmental and social changes across the African continent, paving the way for a sustainable future.

Principle 1: Alignment

We will align our business strategy to be consistent with and contribute to individuals' needs and society's goals, as expressed in the Sustainable Development Goals, the Paris Climate Agreement and relevant national and regional frameworks.

Business model

Describe (high-level) your bank's business model, including the main customer segments served, types of products and services provided, the main sectors and types of activities across the main geographies in which your bank operates or provides products and services. Please also quantify the information by disclosing e.g. the distribution of your bank's portfolio (%) in terms of geographies, segments (i.e. by balance sheet and/or off-balance sheet) or by disclosing the number of customers and clients served.

Response

Customers Segment

Absa Bank Kenya's main customer segments are Global, Regional and local corporates, micro, small and medium enterprises, financial institutions, public sector institutions and Non-Governmental Organisations.

Products & Services

The products offered Bank Accounts, Credit Products, (Investment, Asset and Fund) Management, Women in Business, Wezesha Biashara and Bancassurance

The Digital services offered include Timiza, Absa App, Credit Card, NovoFX App, Internet Banking, Chatbanking (Abby) and Hello Money *224#

Main Activities

Providing payment services including customers' deposits, facilitating payments and cash management, savings and investment management products.

Providing funds for purchases and growth by extending secured and unsecured credit based on customers' affordability and risk appetite.

Managing business and financial risks by providing solutions such as fixed rate loans, pricing and research and hedging.

Protection against risks by providing savings and investment policies and compensation for a specified loss in return of premium payments.

Providing financial and business support by providing advisory on large corporate deals and investment research.

Bank's Portfolio

Absa Kenya operates in Kenya alone but it's part of Absa Group that operates in the following countries: Botswana, Ghana, South Africa, Tanzania, Mozambique, Seychelles, Mauritius, Zambia and Uganda.

In Kenya it has 5209 Point of Sale (PoS) devices, 196 ATMs with an uptime of 96%, 60 cash deposit machines and 84 branches. 92% of all transactions are taking place outside the branch; 60% of back-office processes are fully digitised.

The Bank witnessed an overall asset growth of 6% with customer deposits experiencing growth of 19%.

Links and references

2023 Integrated Report Pg. 12-16

2023 Sustainability Report Pg. 53

Strategy alignment

Does your corporate strategy identify and reflect sustainability as strategic priority/ies for your bank?

Yes

☐ No

Please describe how your bank has aligned and/or is planning to align its strategy to be consistent with the Sustainable Development Goals (SDGs), the Paris Climate Agreement, and relevant national and regional frameworks.

Does your bank also reference any of the following frameworks or sustainability regulatory reporting requirements in its strategic priorities or policies to implement these?

UN Guiding Principles on Business and Human Rights

International Labour Organization fundamental conventions

UN Global Compact

☐ UN Declaration on the Rights of Indigenous Peoples

☐ Any applicable regulatory reporting requirements on environmental risk assessments, e.g. on climate risk - please specify which ones:.....

☐ Any applicable regulatory reporting requirements on social risk assessments, e.g. on modern slavery - please specify which ones:.....

☐ None of the above

Response

At Absa we have domiciled our sustainability commitments as inspired by the UN Sustainable Development Goals and aligned to our "**Active Force for Good Strategy**". We have aligned the Bank's commitments in accordance with all the seventeen (17) SDGs. As a result, we have developed thirteen (13) sustainability commitments anchored under the UN SDGs.

We are also guided by the following national frameworks:

Nairobi Security Exchange (NSE) ESG Disclosures Guidance Manual

Central Bank of Kenya Guidance on Climate-related Risk Management in which we have adopted the TCFD framework in Climate reporting as well as TNFD.

Links and references

2023 Sustainability Report Pg 4

Principle 2: Impact and Target Setting

We will continuously increase our positive impacts while reducing the negative impacts on, and managing the risks to, people and environment resulting from our activities, products and services. To this end, we will set and publish targets where we can have the most significant impacts.

1.1 Impact Analysis (Key Step 1)

Show that your bank has performed an impact analysis of its portfolio/s to identify its most significant impact areas and determine priority areas for target-setting. The impact analysis shall be updated regularly[1] and fulfil the following requirements/elements (a-d)[2]:

a) ***Scope:*** What is the scope of your bank's impact analysis? Please describe which parts of the bank's core business areas, products/services across the main geographies that the bank operates in (as described under 1.1) have been considered in the impact analysis. Please also describe which areas have not yet been included, and why.

Response

At Absa Kenya, we have established our value through creating a business model through the following:

- Financial Capital
- Intellectual Capital
- Human Capital
- Manufactured Capital
- Social & Relationship Capital
- Natural Capital

Our organisation focuses on the most significant environmental, social, economic, and governance issues that have an impact on us and our stakeholders. The following material topics were identified:

1. Environmental and Social Risks
2. Diversity, Equity and Inclusion
3. Employment and Wellbeing
4. Customer Wellbeing, Experience and Protection
5. Supplier Management
6. Community Empowerment
7. Compliance
8. Financial Performance
9. Product Stewardship

Areas that have not yet been included in the impact analysis are typically those that are not material to the bank's operations or are not directly relevant to its core business. The bank will continue to evaluate these areas and may include them in its impact analysis in the future if they become material or relevant

Links and references

2023 Integrated Report Pg 17

2023 Sustainability Report Pg 34-56

1 That means that where the initial impact analysis has been carried out in a previous period, the information should be updated accordingly, the scope expanded as well as the quality of the impact analysis improved over time.

2 Further guidance can be found in the Interactive Guidance on impact analysis and target setting.

a) ***Portfolio composition***: Has your bank considered the composition of its portfolio (in %) in the analysis? Please provide proportional composition of your portfolio globally and per geographical scope

i) by sectors & industries[3] for business, corporate and investment banking portfolios (i.e. sector exposure or industry breakdown in %), and/or

ii) by products & services and by types of customers for consumer and retail banking portfolios.

If your bank has taken another approach to determine the bank's scale of exposure, please elaborate, to show how you have considered where the bank's core business/major activities lie in terms of industries or sectors.

Response	*Links and references*
Yes, Absa Kenya has analyzed its portfolio and categorized assets into high, medium, and low-risk categories. We closely monitor climate-sensitive and high carbon emissions sectors. As part of our sustainability goals, we aim to have at least 10% of our portfolio consist of green assets by 2025. We advanced Kes 60 billion for sustainable finance, including climate and inclusive finance components.	2023 Sustainability Report pg 66-69
Looking ahead, we plan to double sustainable finance to Kes 120 billion. We have achieved an uptake of 84% of climate financing from the allocated Kes 26 billion. A total of Kes 1.5 billion has been set aside for climate-smart agriculture.	Climate Report pg 21

3 'Key sectors' relative to different impact areas, i.e. those sectors whose positive and negative impacts are particularly strong, are particularly relevant here.

a) ***Context:*** What are the main challenges and priorities related to sustainable development in the main countries/regions in which your bank and/or your clients operate?[4] Please describe how these have been considered, including what stakeholders you have engaged to help inform this element of the impact analysis.

→ *This step aims to put your bank's portfolio impacts into the context of society's needs.*

Response

Main challenges and priorities related to sustainable development

1. Climate change related issues

Kenya has experienced effects of climate change both physical and transition in nature. For physical climate risks, the bank has updated its business continuity plan to enhance resilience in its operations and major outsourced arrangements in case of adverse weather. In addition, the bank is assessing all its physical collaterals against adverse weather to mitigate stranded assets in its portfolio. A total of seven sectors have been identified as climate sensitive. This includes

- Agriculture,
- Real estate,
- Manufacturing,
- Mining and quarrying,
- Transport and communications,
- Electricity, gas and water supply
- Construction

The risks have been classified into physical and transition risks and a Net Zero strategy by 2050 at portfolio level has been crafted. The board and management are deliberating on the decarbonization targets which will be communicated in future reports.

2. Evolving complexities in management of social trends in society

The socio-economic landscape of Kenya has been severely tested. There are looming challenges of accessing finance by the underserved in society. Achieving diversity, equality and inclusion has been quite challenging for banks to achieve. The bank is coming up with a foundation to involve partners to solve societal issues relating to un-creditworthiness as well as climate financing through concessional loans.

3. Data Gaps

Unreliable data can undermine trust and hinder effective communication with different stakeholders. Reputational risks can also be affected when data gaps make it difficult to demonstrate sustainability performance.

Stakeholder engagement

We actively engage with a diverse range of stakeholders, including local communities and NGOs, government bodies and regulators, industry experts and academia, as well as clients and customers. These engagements facilitate a deep understanding of the grassroot challenges and priorities, especially in areas impacted by climate change and financial exclusion. Collaborations with government agencies ensure our initiatives are in harmony with national development goals, while partnerships with academic institutions bring innovative solutions for sustainable development to the forefront. Through ongoing dialogue with our clients, ranging from individual consumers to large corporates, we tailor our offerings to support their unique sustainability journeys, providing them with green financing options and advisory services to manage environmental and social risks effectively.

Links and references

2023 Sustainability Report pg 29-31

4 Global priorities might alternatively be considered for banks with highly diversified and international portfolios.

Based on these first 3 elements of an impact analysis, what positive and negative impact areas has your bank identified? Which (at least two) significant impact areas did you prioritize to pursue your target setting strategy (see 2.2)[5]? Please disclose.

Response

Impact Areas identified

At Absa, we acknowledge that sustainable finance is a critical aspect of achieving sustainable development. We are embracing sustainable finance in the lens of diversity and inclusion, financial inclusion and climate action. As a result, we have realized that financing green projects will significantly reduce and mitigate the impacts of climate change.

Integrating climate risk into our operations is crucial. We have adopted programs that not only enhance local economic development but also to enhance resilience of the women and youth.

Portfolio managing and monitoring:

As part of incorporating climate change risk into our business, we monitor and disclose our exposure to sectors with high emissions and those identified as climate sensitive.

Links and references

Sustainability Report Pg 33

2023 climate report pg 21

b) *For these (min. two prioritized impact areas)*: ***Performance measurement***: Has your bank identified which sectors & industries as well as types of customers financed or invested in are causing the strongest actual positive or negative impacts? Please describe how you assessed the performance of these, using appropriate indicators related to significant impact areas that apply to your bank's context.

In determining priority areas for target-setting among its areas of most significant impact, you should consider the bank's current performance levels, i.e. qualitative and/or quantitative indicators and/or proxies of the social, economic and environmental impacts resulting from the bank's activities and provision of products and services. If you have identified climate and/or financial health inclusion as your most significant impact areas, please also refer to the applicable indicators in the Annex.

If your bank has taken another approach to assess the intensity of impact resulting from the bank's activities and provision of products and services, please describe this.

The outcome of this step will then also provide the baseline (incl. indicators) you can use for setting targets in two areas of most significant impact.

5 To prioritize the areas of most significant impact, a qualitative overlay to the quantitative analysis as described in a), b) and c) will be important, e.g. through stakeholder engagement and further geographic contextualisation.

Response

To effectively measure performance in prioritized impact areas, we have identified key sectors and client types that have significant positive or negative effects. This assessment involved evaluating performance through indicators that are relevant to our significant impact areas. For a comprehensive understanding of how Absa has assessed these performances and impact areas, as well as the applicable indicators, please refer to the Sustainability Report 2023 and the Climate Report 2023. These documents provide detailed insights into the bank's methodology for measuring the intensity of impact from its activities and services, which establishes a baseline for setting targets in areas of significant influence.

As we incorporate climate change risk into our business practices, we actively monitor and disclose our exposure to both high-emission sectors and those identified as climate-sensitive. According to the United Nations Environment Programme (UNEP), climate-sensitive sectors account for 31.5% of our total gross loans and advances. Notably, when excluding the real estate portfolio, which mainly consists of retail home loans, the proportion of climate-sensitive sectors drops to 27.8%, a decrease from 29.9% in 2022. Among these sectors, agriculture and manufacturing are the most significant contributors, representing 4.1% and 17.2%, respectively, highlighting our diversified exposure to climate-sensitive sectors.

Absa employs various metrics and targets to evaluate and manage significant climate-related risks and opportunities. In line with the Task Force on Climate-related Financial Disclosures (TCFD) guidelines, we disclose our methodologies for measuring and monitoring these risks, including Scope 1, 2, and, where applicable, Scope 3 emissions. By following this approach, Absa utilizes metrics related to greenhouse gas (GHG) emissions to assess and mitigate risks while also seizing opportunities associated with climate change.

A. Climate Action

- **Net Zero Carbon Targets:**
  - Achieve net zero carbon at the portfolio level by 2050.
  - Attain net zero carbon for operations by 2040.
  - Allocate KES 50 billion to support climate finance by 2025.

Performance Measurement

- **Emissions Tracking:**
  - Achieve net zero status for all Scope 1, 2, and 3 emissions, including financed emissions at both portfolio and counterparty levels.
  - Implement GHG carbon tracking for all emission scopes.
  - Plant 10 million trees and map them to offset emissions by 2032.

B. Financial Inclusion and Diversity Goals

- **Supply Chain Diversification:**
  - Diversify the supply chain to include 30% women, youth, and persons with disabilities by 2025.
  - Allocate KES 70 billion to support financial inclusion initiatives by 2025.

Performance Measurement

- **Financial Tracking:**
  - Monitor the value of loans advanced to support Micro, Small, and Medium Enterprises (MSMEs).
  - Track advancements in the TIMIZA loan program.
  - Measure support provided to Women-owned Small and Medium Enterprises (WSMEs) through financial facilities and literacy programs.
  - Track the number of women, youth, and persons with disabilities in the supply chain.

Links and references

2023 Sustainability Report pg. 65

2023 Integrated Report pg. 74

2023 Climate Report Pg 21

Self-assessment summary:

Which of the following components of impact analysis has your bank completed, in order to identify the areas in which your bank has its most significant (potential) positive and negative impacts?[6]

Scope:	Yes	☐ In progress	☐ No
Portfolio composition:	Yes	☐ In progress	☐ No
Context:	Yes	☐ In progress	☐ No
Performance measurement:	☐ Yes	In progress	☐ No

Which most significant impact areas have you identified for your bank, as a result of the impact analysis?

Financial inclusion, Climate finance, Diversity and inclusion

How recent is the data used for and disclosed in the impact analysis?

- ☐ Up to 6 months prior to publication
- ☐ Up to 12 months prior to publication
- Up to 18 months prior to publication
- ☐ Longer than 18 months prior to publication

Open text field to describe potential challenges, aspects not covered by the above etc.: *(optional)*

6 You can respond "Yes" to a question if you have completed one of the described steps, e.g. the initial impact analysis has been carried out, a pilot has been conducted.

2.2 Target Setting (Key Step 2)

Show that your bank has set and published a minimum of two targets which address at least two different areas of most significant impact that you identified in your impact analysis.

The targets[7] have to be Specific, Measurable (qualitative or quantitative), Achievable, Relevant and Time-bound (SMART). Please disclose the following elements of target setting (a-d), for each target separately:

a) ***Alignment:*** which international, regional or national policy frameworks to align your bank's portfolio with[8] have you identified as relevant? Show that the selected indicators and targets are linked to and drive alignment with and greater contribution to appropriate Sustainable Development Goals, the goals of the Paris Agreement, and other relevant international, national or regional frameworks.

You can build upon the context items under 2.1.

Response	*Links and references*
We have adopted the the following frameworks: 1. Global Reporting Initiative GRI 2. Nairobi Securities Exchange (NSE) ESG Disclosures Guidance Manual 3. Central bank of Kenya's Guidance on Climate-Related Risk Management using TCFD framework 4. Carbon emissions are calculated using the Greenhouse Gas Protocol (revised edition) 5.We rely on the latest electricity factors as published by the International Energy Agency	2023 Sustainability Report Pg 4

b) ***Baseline:*** Have you determined a baseline for selected indicators and assessed the current level of alignment? Please disclose the indicators used as well as the year of the baseline.

You can build upon the performance measurement undertaken in 2.1 to determine the baseline for your target.

A package of indicators has been developed for climate change mitigation and financial health & inclusion to guide and support banks in their target setting and implementation journey. The overview of indicators can be found in the Annex of this template.

If your bank has prioritized climate mitigation and/or financial health & inclusion as (one of) your most significant impact areas, it is strongly recommended to report on the indicators in the Annex, using an overview table like below including the impact area, all relevant indicators and the corresponding indicator codes:

Impact area	*Indicator code*	*Response*
Climate change mitigation		

Impact area	*Indicator code*	*Response*
Financial health & inclusion		

In case you have identified other and/or additional indicators as relevant to determine the baseline and assess the level of alignment towards impact driven targets, please disclose these.

7 Operational targets (relating to for example water consumption in office buildings, gender equality on the bank's management board or business-trip related greenhouse gas emissions) are not in scope of the PRB.

8 Your bank should consider the main challenges and priorities in terms of sustainable development in your main country/ies of operation for the purpose of setting targets. These can be found in National Development Plans and strategies, international goals such as the SDGs or the Paris Climate Agreement, and regional frameworks. Aligning means there should be a clear link between the bank's targets and these frameworks and priorities, therefore showing how the target supports and drives contributions to the national and global goals.

Response

Climate Change Mitigation

Indicator Code	Response
A.1.1 **Climate strategy:** Does your bank have a climate strategy in place?	Yes, our climate strategy is embedded to the sustainability commitments rather than being a standalone aspiration.
A.1.2 **Paris alignment target:** Has your bank set a long-term portfolio-wide Paris-alignment target? To become net zero by when? – Emissions baseline/base year: What is the emissions baseline/base year for your target? **Climate scenario used:** What climate scenario(s) aligned with the Paris climate goals has your bank used?	Absa Bank Kenya has developed a strategy to achieve net zero emission targets by 2040 for Scope 1 and 2 and 2050 for Scope 3. We are working with the International Finance Corporation (IFC) on our climate finance strategy, which will provide an acceptable baseline for benchmarking our green finance proposition.
A.1.3 **Policy and process for client relationships:** Has your bank put in place rules and processes for client relationships (both new clients and existing clients), to work together towards the goal of transitioning the clients' activities and business model?	Yes, we have a sustainability risk policy that specifies the broad principles and control requirements for managing sustainability and climate-related risk management.
A.1.5 **Business opportunities and financial products:** Has your bank developed financial products tailored to support clients' and customers' reduction in GHG emissions (such as energy efficient mortgages, green loans, green bonds, green securitisations etc.)?	Yes, In 2023, 63% of climate investment was directed towards financing renewable energy projects. The Bank also prioritised financing green building projects that adhere to environmentally sustainable construction practices, promoting energy efficiency and resource conservation. Approximately USD 15 million was directed towards climate smart agriculture which contributes significantly to climate adaptation and mitigation efforts in the agricultural sector.
A.2.1 **Client engagement process:** Is your bank in an engagement process with clients regarding their strategy towards a low(er)-carbon business model (for business clients), or towards low(er)-carbon practices (for retail clients)?	Yes, we have identified enablers that would aid stakeholder actions that are required to benefit from the Bank's climate finance proposition.
A.2.2 **Absolute financed emissions:** What are your absolute emissions (financed emissions = scope 3, category 15) in your lending and/or investment portfolio?	4066 tCO_2e carbon1 footprint recorded (More on this is found in Absa Kenya's Climate Report) Breakdown of carbon emissions recorded (tCO_2e): Scope 1: 2413.67 Scope 2: 1136.26 Scope 3: 516.23 (Comprised of emissions from piped water, paper consumption, business travel)

Links and references

2023 Climate Report Pg. 21, 24-35

2023 Sustainability Report Pg. 22-25, 29

Indicator Code	Response
A.2.3 **Sector-specific emission intensity (per clients' physical outputs or per financial performance):** What is the emission intensity within the relevant sector?	The Manufacturing sector is projected to have the highest emission intensity since it has a loan portfolio of 17%.
A.2.4 **Proportion of financed emissions covered by a decarbonisation target:** What proportion of your bank's financed emissions is covered by a decarbonisation target, i.e. stems from clients with a transition plan in place?	The Bank is in the process of establishing targets, including a climate finance strategy facilitated by the IFC. The Bank has set a target to green its portfolio by at least 10% by 2025. It is also preparing additional climate-related Key Performance Indicators (KPIs).
A.3.1 **Financial volume of green assets/low-carbon technologies:** How much does your bank lend to/invest in green assets/loans and low-carbon activities and technologies?	In 2023, we invested more than KES 22 billion in climate and sustainability-linked loans on projects in renewable energy, green construction, and climate-smart agriculture.
A.4.1 **Reduction of GHG emissions:** How much have the GHG emissions financed been reduced?	We have planned to calculate the financed emissions by end of 2024.

c) ***SMART targets*** (incl. key performance indicators (KPIs)[9]): Please disclose the targets for your first and your second area of most significant impact, if already in place (as well as further impact areas, if in place). Which KPIs are you using to monitor progress towards reaching the target? Please disclose.

Response	*Links and references*

d) ***Action plan:*** which actions including milestones have you defined to meet the set targets? Please describe.

Please also show that your bank has analysed and acknowledged significant (potential) indirect impacts of the set targets within the impact area or on other impact areas and that it has set out relevant actions to avoid, mitigate, or compensate potential negative impacts.

9 Key Performance Indicators are chosen indicators by the bank for the purpose of monitoring progress towards targets.

Response

We are dedicated to becoming a net-zero bank by 2050, as outlined in our 2023 Sustainability Report. To reinforce this commitment, we have enhanced our focus on sustainability within our executive and governance structures. As part of our strategy to integrate climate change risk into our operations, we actively monitor and disclose our exposure to both high-emission sectors and those recognized as climate-sensitive.

In line with our goal of providing accessible and convenient financial solutions, we have significantly improved the availability of our Timiza platform. In 2023, we disbursed loans totalling KES 21 billion, positively impacting over one million customers through Timiza. This initiative empowers our customers by providing them with the necessary funds to achieve their aspirations.

Our commitment to the communities we serve is evident through various impactful initiatives. To date, we have trained 20,274 youth through the Ready to Work programme, supported 574 underprivileged students in accessing university education, and established computer labs in 65 schools. Additionally, we have allocated KES 150 million towards sustainability and citizenship initiatives, further demonstrating our dedication to making a positive impact.

Links and references

2023 Sustainability Report Pg 20, 21, 39, 47-69

Self-assessment summary

Which of the following components of target setting in line with the PRB requirements has your bank completed or is currently in a process of assessing for your...

	... first area of most significant impact: ... *(please name it)*	... second area of most significant impact: ... *(please name it)*	*(If you are setting targets in more impact areas)* ... your third (and subsequent) area(s) of impact: ... *(please name it)*
Alignment	☐ Yes In progress ☐ No	Yes ☐ In progress ☐ No	☐ Yes In progress ☐ No
Baseline	Yes ☐ In progress ☐ No	Yes ☐ In progress ☐ No	Yes ☐ In progress ☐ No
SMART targets	Yes ☐ In progress ☐ No	Yes ☐ In progress ☐ No	Yes ☐ In progress ☐ No
Action plan	Yes ☐ In progress ☐ No	☐ Yes In progress ☐ No	☐ Yes In progress ☐ No

2.3 Target implementation and monitoring (Key Step 2)

For each target separately:

Show that your bank has implemented the actions it had previously defined to meet the set target.

Report on your bank's progress since the last report towards achieving each of the set targets and the impact your progress resulted in, using the indicators and KPIs to monitor progress you have defined under 2.2.

Or, in case of changes to implementation plans (relevant for 2nd and subsequent reports only): describe the potential changes (changes to priority impact areas, changes to indicators, acceleration/review of targets, introduction of new milestones or revisions of action plans) and explain why those changes have become necessary.

Response	*Links and references*
In 2023, we made a bold commitment to double our financing for sustainable initiatives, setting an ambitious target of KES 120 billion. This initiative is part of our broader sustainability strategy, designed to promote green and inclusive finance, support financially excluded groups, and reduce our carbon footprint. By the end of 2023, we had already advanced nearly KES 60 billion in sustainable finance, encompassing both green and inclusive finance components. We are also proud to reaffirm our pledge to plant 10 million trees in Kenya by 2032. As an environmentally conscious organization, Absa Kenya recognizes the urgent need to combat climate change and safeguard our precious natural resources. Through this initiative, we aim to restore and preserve Kenya's biodiversity, mitigate carbon emissions, and foster a greener, more sustainable future for generations to come.	2023 Sustainability Report Pg. 82

Principle 3: Clients and Customers

We will work responsibly with our clients and our customers to encourage sustainable practices and enable economic activities that create shared prosperity for current and future generations.

3.1 Client engagement

Does your bank have a policy or engagement process with clients and customers[10] in place to encourage sustainable practices?

Yes ☐ In progress ☐ No

Does your bank have a policy for sectors in which you have identified the highest (potential) negative impacts?

Yes ☐ In progress ☐ No

Describe how your bank has worked with and/or is planning to work with its clients and customers to encourage sustainable practices and enable sustainable economic activities[11]). It should include information on relevant policies, actions planned/implemented to support clients' transition, selected indicators on client engagement and, where possible, the impacts achieved.

This should be based on and in line with the impact analysis, target-setting and action plans put in place by the bank (see P2).

Response	*Links and references*
Absa Bank Kenya is committed to fostering sustainable practices among its clients and customers by integrating environmental, social, and governance (ESG) considerations into its operations and client engagements. Absa Bank Kenya has developed comprehensive policies that guide its engagements with clients and customers to promote sustainability. These policies include: 1. Environmental & Social Management System policy 2. Diversity Equity & Inclusion policy 3. Talent Development and Retention Policy 4. Human Rights and Sexual Harassment policy 5.Climate Risk policy (in progress) 6. Sustainability Policy Framework & Standards 7.Our People Function policy etc.	Sustainability Report Pg 30-31

10 A client engagement process is a process of supporting clients towards transitioning their business models in line with sustainability goals by strategically accompanying them through a variety of customer relationship channels.
11 Sustainable economic activities promote the transition to a low-carbon, more resource-efficient and sustainable economy.

3.2 Business opportunities

Describe what strategic business opportunities in relation to the increase of positive and the reduction of negative impacts your bank has identified and/or how you have worked on these in the reporting period. Provide information on existing products and services, information on sustainable products developed in terms of value (USD or local currency) and/or as a % of your portfolio, and which SDGs or impact areas you are striving to make a positive impact on (e.g. green mortgages – climate, social bonds – financial inclusion, etc.).

Response

Absa Kenya has established a comprehensive climate change strategy that guides our approach to managing climate risks and opportunities. This strategy aims not only to achieve emission reductions but also to create value through sustainable finance opportunities.

To effectively implement this strategy, we have developed a climate risk management framework that aligns with the Central Bank of Kenya's Guidance on Climate-Related Risk Management, published in 2021. This ensures that our practices are in accordance with national standards and best practices for addressing climate-related challenges.

Green Projects Financed:

1. Absa Kenya, in collaboration with Sun King, is investing Kes 2 billion in solar-powered projects in off-grid communities across Kenya
2. Acorn Holdings Limited (AHL), the largest institutional rental housing developer in East Africa, entered a Kes 6.7 billion financing agreement with Absa Group and Absa Bank Kenya. The new facilities will be EDGE-certified as green buildings.
3. Absa Kenya signed a Kes 1.26 billion financing agreement with the Eco-Business Fund to support climate-smart agricultural practices in Kenya. This allocation aims to enhance resource efficiency, strengthen food security, and mitigate the impact of climate change on the agricultural sector.

Additionally, through the Timiza program, we have disbursed Kes 21 billion to support financially excluded groups, fostering financial inclusivity and empowerment.

Links and references

Sustainability Report Pg. 67-68

Principle 4: Stakeholders

We will proactively and responsibly consult, engage and partner with relevant stakeholders to achieve society's goals.

4.1 Stakeholder identification and consultation

Does your bank have a process to identify and regularly consult, engage, collaborate and partner with stakeholders (or stakeholder groups[12]) you have identified as relevant in relation to the impact analysis and target setting process?

Yes ☐ In progress ☐ No

Please describe which stakeholders (or groups/types of stakeholders) you have identified, consulted, engaged, collaborated or partnered with for the purpose of implementing the Principles and improving your bank's impacts. This should include a high-level overview of how your bank has identified relevant stakeholders, what issues were addressed/results achieved and how they fed into the action planning process.

Response

In both our 2023 Sustainability and Integrated Reports, we have identified the relevant stakeholders and engaged them as envisioned in the below stakeholder analysis matrix:

Stakeholders	Main Subjects discussed	How we reacted
Customers	Product Quality Reliability of digital channels	Improve access to financial services in local, regional and global markets
Employees	Secure employment, strong leadership and change management	Deliver performance-based reward and recognition
Partners & Collaborators	Business Growth and Shared Value	Data privacy protection
Society & Communities	Environmental Stewardship & Protection	Supporting an inclusive and responsible supply chain
Regulators	Compliance with all relevant laws & regulations	Comprehensive regulatory change management programme

Links and references

Integrated Report Pg. 33

Sustainability Report Pg. 25-27

12 Such as regulators, investors, governments, suppliers, customers and clients, academia, civil society institutions, communities, representatives of indigenous population and non-profit organizations

Principle 5: Governance & Culture

We will implement our commitment to these Principles through effective governance and a culture of responsible banking

5.1 Governance Structure for Implementation of the Principles

Does your bank have a governance system in place that incorporates the PRB?

Yes ☐ In progress ☐ No

Please describe the relevant governance structures, policies and procedures your bank has in place/is planning to put in place to manage significant positive and negative (potential) impacts and support the effective implementation of the Principles. This includes information about

- which committee has responsibility over the sustainability strategy as well as targets approval and monitoring (including information about the highest level of governance the PRB is subjected to),
- details about the chair of the committee and the process and frequency for the board having oversight of PRB implementation (including remedial action in the event of targets or milestones not being achieved or unexpected negative impacts being detected), as well as
- remuneration practices linked to sustainability targets.

Response

The Bank has set up a sustainability framework and policy to comply with regulations. It includes monitoring and reporting on sustainability practices. Absa has a compliance portal for tracking sustainability regulations. It also sends reminders 10 days before regulatory returns are due.

The **Corporate Governance, Nominations and Remuneration Committee is** responsible for monitoring the progress made in implementing Absa's 13 sustainability commitments.

Strategy Committee

The Committee is responsible for ensuring that these commitments remain aligned with the overall strategy of the Bank and drive value for all stakeholders.

Sustainability Steering Committee

The Committee's primary responsibility is to implement, progress and develop the Absa Kenya Sustainability Strategy, including overseeing the Bank's most material sources of sustainability risk and opportunities, associated actions and reporting.

Sustainability Team: Lead and oversight implementation of the sustainability agenda.

Business and Enterprise Function: Support by executing sustainability agenda.

Links and references

Sustainability Report Pg. 57-61

Integrated Report Pg. 96-99

5.2 Promoting a culture of responsible banking:

Describe the initiatives and measures of your bank to foster a culture of responsible banking among its employees (e.g., capacity building, e-learning, sustainability trainings for client-facing roles, inclusion in remuneration structures and performance management and leadership communication, amongst others).

Response

Trainings for client-facing roles

We offer various training platforms for Absa employees. One of them is Mind the Gap, an internal leadership program that emphasizes our commitment to staying ahead in a dynamic business environment. Other important platforms for employee development include Absa Digital Campus, Absa Leadership Academy, and Udemy.

For our colleagues, we have made climate finance training and capacity building mandatory on an annual basis. Furthermore, we actively support our customers in making the transition to a lower-carbon economy. As part of this, we provided climate finance training to our SMEs and corporate clients last year, and more trainings are planned in the future

E-training for employees

The Bank has Learning Management System (LMS), Absa digital Campus, Udemy, Linkedin learning and Absa Leadership Academy digital systems to support employee learning and development which include enhancing service delivery to customers.

Capacity Building

In 2023, Absa Kenya conducted 22 fraud training sessions for its colleagues. In total, 1,640 colleagues completed the annual fraud training.

To ensure continuous learning, Absa has developed e-learning modules on climate-related matters. These modules are accessible through the KBA Sustainable Finance Initiative curriculum, and the Bank is working on internal e-learning modules to further empower colleagues.

Links and references

Sustainability Report Pg. 44, 54,72

2023 Climate Report Pg. 4, 24

Integrated Report Pg. 29, 36, 37

5.3 Policies and due diligence processes

Does your bank have policies in place that address environmental and social risks within your portfolio?[13] Please describe.

Please describe what due diligence processes your bank has installed to identify and manage environmental and social risks associated with your portfolio. This can include aspects such as identification of significant/salient risks, environmental and social risks mitigation and definition of action plans, monitoring and reporting on risks and any existing grievance mechanism, as well as the governance structures you have in place to oversee these risks.

Response

Absa Kenya has proactively published its abridged version of its Sustainability Policy on its website, aligning with the guidelines set forth by the Capital Markets Authority. We have established a sustainability risk policy that addresses a wide range of climate-related risks, and we are currently in the process of developing a dedicated Climate Risk policy.

We maintain a zero-tolerance stance towards fraud, bribery, and unethical behavior, which is reinforced by our Whistle Blowing policy. This policy fosters a culture of information sharing and ensures protection for whistle-blowers, encouraging transparency and accountability.

To effectively manage environmental and social risks within our portfolio, Absa Bank Kenya has implemented a robust set of policies and procedures. These include an Environmental and Social Management System (ESMS) for screening and managing risks, as well as climate risk management strategies that align with the Central Bank of Kenya's guidance. We prioritize sectors with significant climate risk and provide our clients with training to facilitate a smooth transition to climate finance, ensuring that we support sustainable practices across our operations.

Links and references

Sustainability Report Pg. 29-31

Self-assessment summary

Does the CEO or other C-suite officers have regular oversight over the implementation of the Principles through the bank's governance system?

Yes ☐ No

Does the governance system entail structures to oversee PRB implementation (e.g. incl. impact analysis and target setting, actions to achieve these targets and processes of remedial action in the event targets/milestones are not achieved or unexpected neg. impacts are detected)?

Yes ☐ No

Does your bank have measures in place to promote a culture of sustainability among employees (as described in 5.2)?

Yes ☐ In progress ☐ No

13 Applicable examples of types of policies are: exclusion policies for certain sectors/activities; zero-deforestation policies; zero-tolerance policies; gender-related policies; social due diligence policies; stakeholder engagement policies; whistle-blower policies etc., or any applicable national guidelines related to social risks.

Principle 6: Transparency & Accountability

We will periodically review our individual and collective implementation of these Principles and be transparent about and accountable for our positive and negative impacts and our contribution to society's goals.

6.1 Assurance

Has this publicly disclosed information on your PRB commitments been assured by an independent assurer?

☐ Yes Partially No

If applicable, please include the link or description of the assurance statement.

Response	*Links and references*
The sustainability report will be subjected to external assurance.	2023 Sustainability Report Pg.4

6.2 Reporting on other frameworks

Does your bank disclose sustainability information in any of the listed below standards and frameworks?

GRI

☐ SASB

☐ CDP

☐ IFRS Sustainability Disclosure Standards (to be published)

TCFD

☐ Other: ....

Response	*Links and references*
Yes, Absa Bank Kenya discloses sustainability information in accordance with the Global Reporting Initiative (GRI) standards and follows the reporting guidelines of the Task Force on Climate-related Financial Disclosures (TCFD) for disclosing climate-related risks and opportunities: • For GRI: it covers specific areas or indicators e.g., economic performance, environmental impacts, social impacts. • For TCFD, Absa bank integrates climate-related risks into its overall risk management framework and the disclosures are aligned with TCFD recommendations.	2023 Sustainability Report Pg. 4, 51, 59, 88 2023 Climate Report Pg. 2

6.3 Outlook

What are the next steps your bank will undertake in next 12 month-reporting period (particularly on impact analysis[14], target setting[15] and governance structure for implementing the PRB)? Please describe briefly.

Response

Currently we have purposed to invest Kes 60 billion in financing activities aimed at reducing & mitigating the impacts of climate change.

We have an ambitious plan to double the investment to Kes 120 billion by 2025.

Increase green portfolio by at least 10% by 2025

By end of 2024, we aim to do first calculation of financed emissions.

Links and references

2023 Sustainability Report Pg. 82

6.4 Challenges

Here is a short section to find out about challenges your bank is possibly facing regarding the implementation of the Principles for Responsible Banking. Your feedback will be helpful to contextualise the collective progress of PRB signatory banks.

What challenges have you prioritized to address when implementing the Principles for Responsible Banking? Please choose what you consider the top three challenges your bank has prioritized to address in the last 12 months (optional question).

If desired, you can elaborate on challenges and how you are tackling these:

- ☐ Embedding PRB oversight into governance
- ☐ Gaining or maintaining momentum in the bank
- ☐ Getting started: where to start and what to focus on in the beginning
- ☐ Conducting an impact analysis
- ☐ Assessing negative environmental and social impacts
- Choosing the right performance measurement methodology/ies
- ☐ Setting targets
- ☐ Prioritizing actions internally
- ☐ Customer engagement
- ☐ Stakeholder engagement
- ☐ Data availability
- Data quality
- ☐ Access to resources
- ☐ Reporting
- Assurance
- ☐ Other: ...

If desired, you can elaborate on challenges and how you are tackling these:

14 For example outlining plans for increasing the scope by including areas that have not yet been covered, or planned steps in terms of portfolio composition, context and performance measurement

15 For example outlining plans for baseline measurement, developing targets for (more) impact areas, setting interim targets, developing action plans etc.

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Your story matters

Absa Bank of Kenya is regulated by the Central Bank of Kenya